Illustration 2

Joy Company issued 10,000 equity shares at ₹ 10 per share payable ₹ 5 on application, ₹ 3 on allotment and ₹ 2 on first and final call. The public subscribed for 9,000 shares. The directors allotted all the 9,000 shares and duly received the money. Pass the necessary journal entries.

Solution

In the books of Joy Company
Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Bank A/c (9,000 × 5) Dr.		45,000	
	To Equity share application A/c			45,000
	(Application money received)			
	Equity share application A/c Dr.		45,000	
	To Equity share capital A/c			45,000
	(Transfer of application money to share capital A/c)			
	Equity share allotment A/c Dr.		27,000	
	To Equity share capital A/c			27,000
	(Allotment money due)			
	Bank A/c Dr.		27,000	
	To Equity share allotment A/c			27,000
	(Allotment money received)			
	Equity share first and final call A/c Dr.		18,000	
	To Equity share capital A/c			18,000
	(Call money due)			
	Bank A/c Dr.		18,000	
	To Equity share first and final call A/c			18,000
	(Call money received)			

7.8.2 Over subscription

When the number of shares applied for is more than the number of shares offered for subscription, it is said to be over subscription. This situation can be dealt with as per any of the following three alternatives:

(a) Some applications are accepted in full and others are totally rejected. Application money is returned to the applicants for rejected applications.

(b) All applications are allotted in proportion of shares applied for. This is called pro rata allotment. Excess application money may be returned or may be retained for adjustment towards allotment money and call money.

(c) A combination of the above two may be applied.

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